

July 16, 2026 02:23 AM GMT

IT Services | North America

2Q26 CIO Survey: IT Services Lags Broader Budget Acceleration as AI Continues to Crowd Out Discretionary Spend

2Q26 CIO Survey points to modestly weaker 2026 IT Services growth expectations despite improving overall IT budgets, suggesting AI remains a top enterprise priority but is still absorbing discretionary dollars, hurting Services growth.

AlphaWise 

Annual IT Services budget growth is still down vs. CY25, with growth expectations weakening QoQ, even as overall IT budget growth improves. Our 2Q26 CIO Survey, fielded May 8 to June 18, 2026, points to +1.8% y/y IT Services growth in 2026, a slight downward QoQ revision from the +2.0% y/y growth recorded in our 1Q26 survey. Services growth expectations for 2026 remain slightly below 2025 levels, with expected growth of +1.8% in 2026 down from +2.1% in 2025. Consistent with our last survey ([1Q26 CIO Survey: IT Services Not Getting Worse, But Mixed Backdrop; Hope In Broader Budgets](#)), overall IT budget growth expectations for 2026, which include hardware, software, communications, and services, accelerated to +3.8% versus +3.7% in 2025 and the 1-year up-to-down ratio for potential overall IT budget revisions increased to 1.2x from 0.8x in 1Q26, with 30% of CIOs expecting upward revisions versus 25% expecting downward revisions. This marks the first up-to-down reading above 1.0x since 1Q24 and the strongest reading above 1.1x since 1Q22. We believe this could be viewed as early evidence that AI is beginning to drive tangible ROI and support broader budget acceleration (or at least a willingness to continue to grow AI investment). However, that acceleration has yet to benefit Services, which stands out as the only category to tick down sequentially this quarter. See broader U.S. Tech note here: [2Q26 CIO Survey – Budget Support Improves, But Winners Remain Selective](#).

Rapid model advancement may be crowding out Services spend. Our broader view on AI disruption has been that, as AI use cases mature from proof of concept to production, enterprises will gain clearer visibility into returns and only a subset of pilots will advance to deployment. In turn, this should free IT budget that could be reprioritized toward broader digital transformation, a dynamic that should eventually benefit Services yet has not played out. While the modest acceleration in overall IT budget expectations to +3.8% could indicate that AI pilots are beginning to demonstrate meaningful returns, the QoQ deceleration in Services spending growth expectations suggests that AI is still crowding out discretionary Services spend. In our view, the rapid pace of model advancement is likely forcing leadership teams and boards to prioritize continuous AI investment, often at the expense of

MORGAN STANLEY & CO. LLC

James E Faucette

Equity Analyst

James.Faucette@morganstanley.com

+1 212 296-5771

Shefali Tamaskar

Research Associate

Shefali.Tamaskar@morganstanley.com

+1 212 761-4948

Michael N Infante

Equity Analyst

Michael.Infante@morganstanley.com

+1 212 761-4631

Meryl R Thomas, CFA

Research Associate

Meryl.Thomas@morganstanley.com

+1 212 761-0774

IT SERVICES

North America

Industry View

In-Line

Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

broader discretionary development programs.

AI prioritization remains high, but defensibility is softening. AI/ML remains the #1 CIO priority at 18%, followed by Security Software at 11% and Digital Transformation at 10%. However, AI/ML/Process Automation defensibility ticked down to +4% versus +10% in 4Q25, suggesting CIOs are becoming more discerning about which AI initiatives are truly protected in a downturn ([Exhibit 17](#)). Our survey suggests that IT Services still have a role to play in AI transformation, with 59% of respondents planning to increase traditional IT outsourcing spend as a result of Gen AI, while 19% of respondents are reducing spend ([Exhibit 18](#)). Funding sources for AI initiatives also remain varied: 33% of CIOs cite net new IT budget dollars, 21% cite net new budget from outside IT, and 15% cite reallocation from existing software budgets. Additional respondents point to reallocation from Professional Services, other IT budget areas, and non-IT business unit budgets.

We see ACN (EW) as relatively best positioned should there be a reacceleration in IT Services spend, and favor ACN and CTSH's (EW) investment-forward AI strategies. As noted in our [Downgrade to EW](#), we believe ACN remains the best-positioned scaled IT Services vendor given its breadth, scale, enterprise relationships, and exposure to large transformation programs, further evidenced by our 2Q26 survey results that point to ACN as the largest share gainer in vendor consolidation. Survey respondents screen ACN as the highest quality provider of strategic consulting ([Exhibit 23](#)), though strategic consulting remains the least defensive IT project ([Exhibit 17](#)). As such, we still think ACN will need to see a clearer acceleration in IT budgets and a recovery in discretionary Services demand for the stock to work, as AI spend continues to crowd out traditional Services. We are encouraged that both ACN and CTSH are also allocating significant capital toward acquisitions (~50% of FCF), as M&A remains a strategic imperative for IT Services companies to re-equip and reskill for AI-specific work, strengthen technical offerings, potentially build proprietary IP portfolios, and stay at the leading edge of emerging technologies. We are also generally constructive on CTSH's front-footed 3-vector AI strategy (see here: [Living with AI: Bridging the Capability-to-Production-Value Gap](#)), which is focused on context engineering, model routing, token economics, and agentification. However, monetization remains early and we await clearer evidence of scaled production adoption.

IT Services - Key Takeaways:

- **Broad-based willingness to discount.** We see willingness to discount across the space, with all 12 vendors having positive net discounting scores. We note that WIT, INFY, CAP and ACN show the greatest willingness to discount relative to industry peers. Relative to our 4Q25 survey, WIT saw the largest increase in willingness to discount (up +44%), followed by EPAM (up +40%). While all vendors show positive discounting scores, IBM has the lowest positive net discounting score (3%) relative to peers, followed by Gartner (5%) and DXC (7%). [Continued Discounting Across IT Services Vendors](#)
- **Macro concerns less likely to drive project delays, contrary to company commentary.** Our survey data shows 23% of respondents delaying IT Services-related projects due to geopolitical and/or macroeconomic concerns, down significantly from 42% polled in 4Q25. This improvement

stands in notable contrast to the tone struck by most IT Services companies, where macro-driven caution, elongated sales cycles, and discretionary spending headwinds remain persistent themes. [Macroeconomic Concerns Less Likely to Drive Project Delays](#)

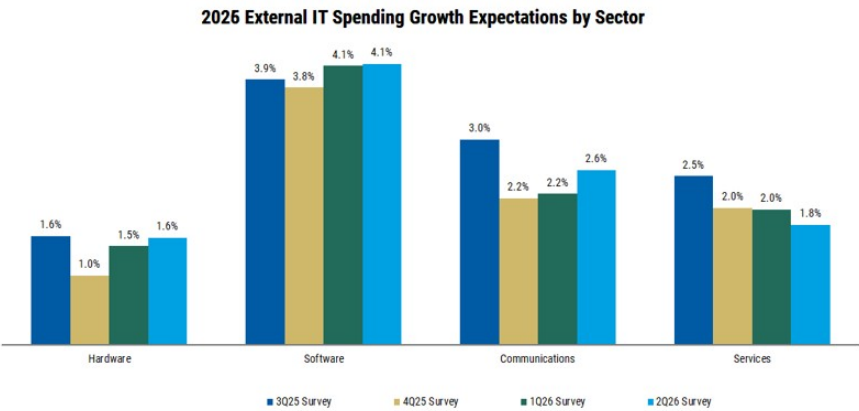
- ACN is the key beneficiary from vendor consolidation, with 52% of respondents consolidating vendor relationships (vs. 54% in 4Q25).** On a net basis, ACN and Deloitte screened as the greatest share gainers in vendor consolidation, while Infosys, IBM and Other screened as the largest share donors. ACN's strength is likely driven by the company's breadth of offerings across both consulting and outsourcing. Of the 11 respondents that highlighted ACN as the greatest share gainer, IBM, Wipro and Deloitte were the key share donors. Conversely, IBM and ACN screened as the largest share donors. Of the 5 respondents highlighting IBM as the greatest share donor, ACN screened as the largest share gainer. Of the 4 respondents highlighting ACN as the greatest share donor, Deloitte and IBM were share gainers. [52% of Respondents Consolidating Vendor Relationships](#)
- Potential to overspend on IT Services rises.** CIO confidence around IT Services trended slightly upward, with the percentage of companies expecting to overspend increasing to 33% (vs. 28% in our 4Q25 survey), while 5% of companies expect to underspend on IT Services, matching 4Q25 levels. As it relates to specific vendors, ACN is expected to see an increase in spend, with 15 respondents looking to increase spend, offset by 4 respondents looking to decrease spend over the next 12 months. Conversely, Wipro is expected to see a marginal reduction in spend, with 1 respondent looking to increase spend, offset by 5 respondents looking to decrease spend over the next 12 months. Similarly, for EPAM, 1 respondent is looking to increase spend, offset by 3 respondents looking to decrease spend. [Spending Intentions Vary By Vendor and Delivery Preference](#)
- Consulting and Systems Integration leads spending categories, while BPO spend expectations decline.** On a net basis, Consulting and Systems Integration (33%) and Offshore/outsource resources (23%) are expected to see the greatest spending increases over the next twelve months. Consulting and Systems Integration also saw the greatest percentage of respondents that indicated an expectation that spending could increase by >1% (48% of respondents), while BPO support saw the greatest percentage of respondents indicating an expectation that spending could decrease >1% (23% of respondents), marginally above Infrastructure Outsourcing and Application Development (22% of respondents). [Consulting and Systems Integration Leads Spending Categories](#)
- Artificial Intelligence, Software Upgrades and Security are the top three IT Services-related initiatives in 2026.** Survey results suggest CIOs are prioritizing Artificial Intelligence as the top spending initiative in 2026, with 77% of polled respondents intending to engage an IT Services provider (up from 68% in 4Q25). Additionally, 59% of respondents are planning to increase traditional IT outsourcing spend as a result of Gen AI, while 19% of respondents are reducing spend. Software Upgrades ranked as the second-most prioritized spending initiative, with 62% of respondents looking to

engage a service provider (vs. 47% in 4Q25). [AI, Software Upgrades and Security Areas of Near-Term Demand](#)

Key CIO Survey Exhibits

IT Services Spending Intentions Shows Downtick

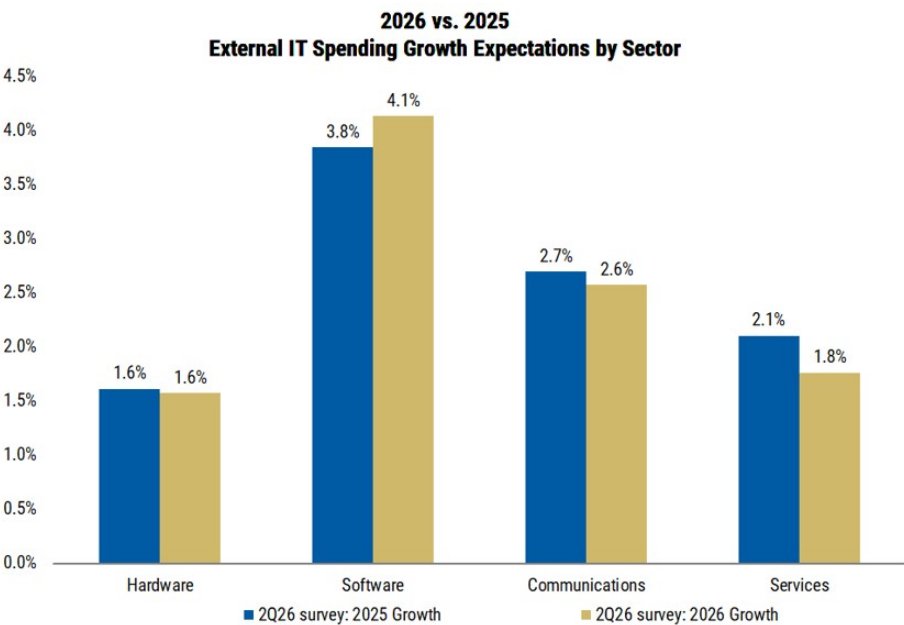
Exhibit 1: Survey results show sequential deceleration in IT Services spending expectations, with CIOs now expecting IT Services spend to grow +1.8% (vs. +2.0% when surveyed in 1Q26)



Source: AlphaWise, Morgan Stanley Research; n=100 (US and EU data)

By what percentages did your company's external IT spending change for each of the following technology areas in 2025 vs. 2024? What is your estimated spending for 2026 vs. 2025?

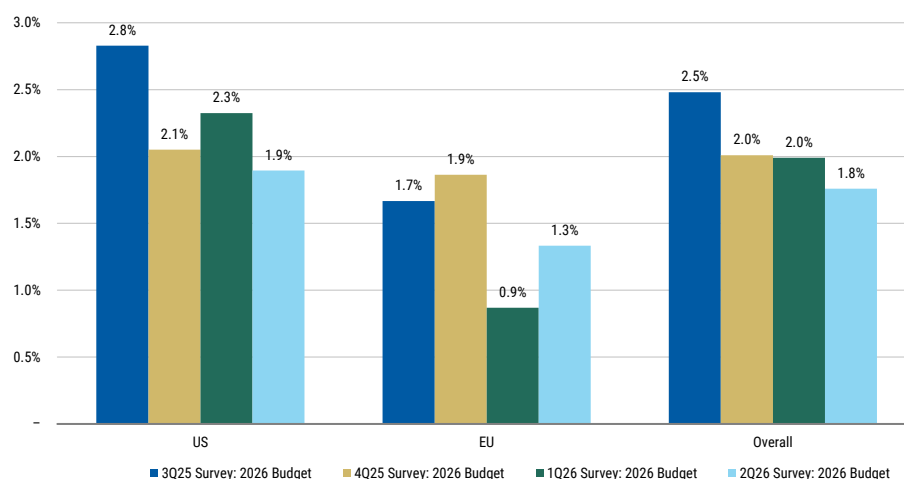
Exhibit 2: IT Services shows a deceleration in spending intentions for 2026 vs. 2025



Source: AlphaWise, Morgan Stanley Research; n=100 (US and EU data)

Exhibit 3: Within IT Services, EU spending expectations are modestly improving QoQ to +1.3% while US respondents expect spending to decelerate to +1.9%.

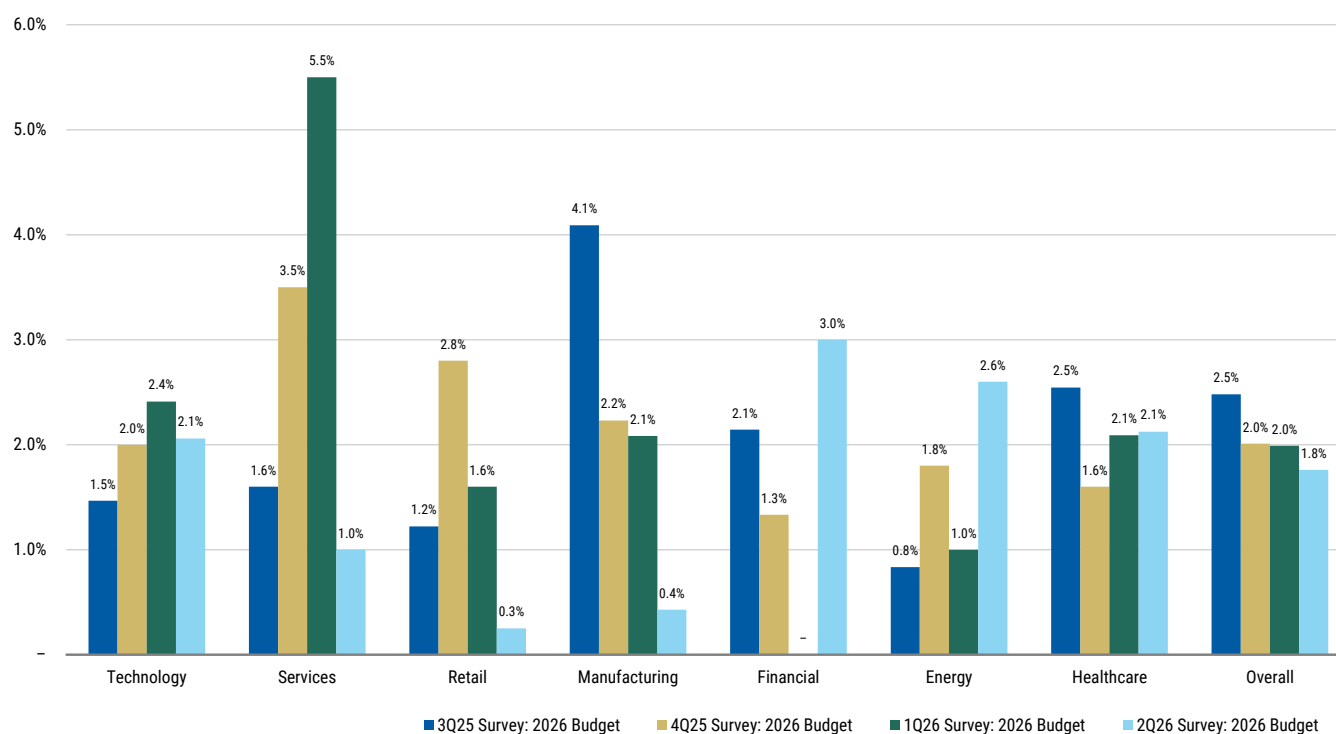
2026 IT Services spending growth expectations (%)



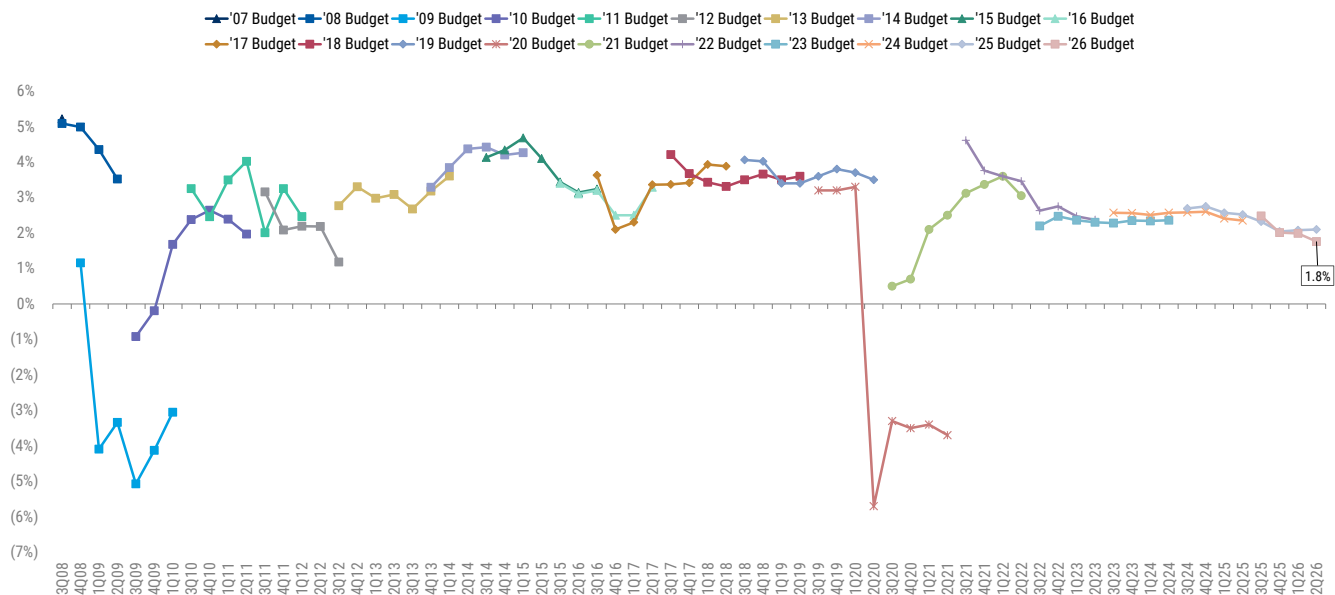
Source: AlphaWise, Morgan Stanley Research; n=100 (US and EU data)

Exhibit 4: Financials show the highest sequential acceleration in spending expectations (+300 bps), while Services shows the largest sequential deceleration (-450bps)

2026 IT Services spending growth expectations by vertical (%)



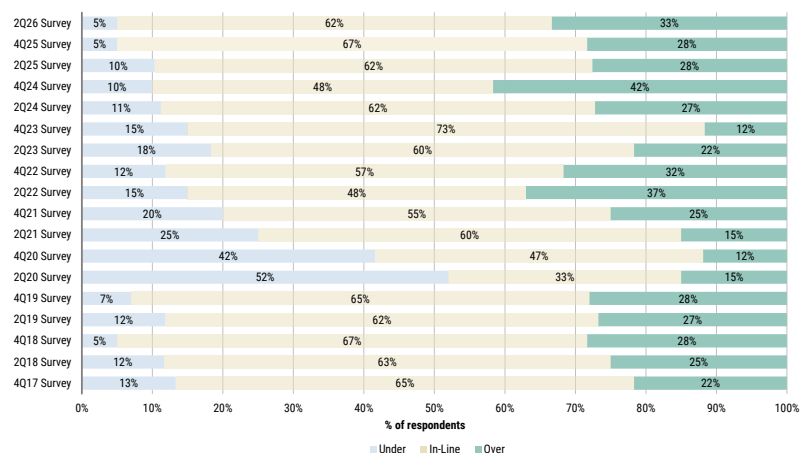
Source: AlphaWise, Morgan Stanley Research; n=100 (US and EU data)

Exhibit 5: IT Services spending growth expectations show slight deceleration vs. 1Q26**IT Services Spending Growth Expectations Over Time**

Source: AlphaWise, Morgan Stanley Research; n=100 (US and EU data)

Do you expect your professional IT services spending in 2026 to be in-line with the budget this year, or is your organization more likely to over- or under-spend vs. your 2025 IT services budget?

Exhibit 6: The percentage of companies expecting to overspend on IT Services increased to 33% (vs. 28% in 4Q25), which is slightly ahead of pre-pandemic levels, while 5% of companies expect to underspend.

IT Services: Overspending vs. underspending expectations

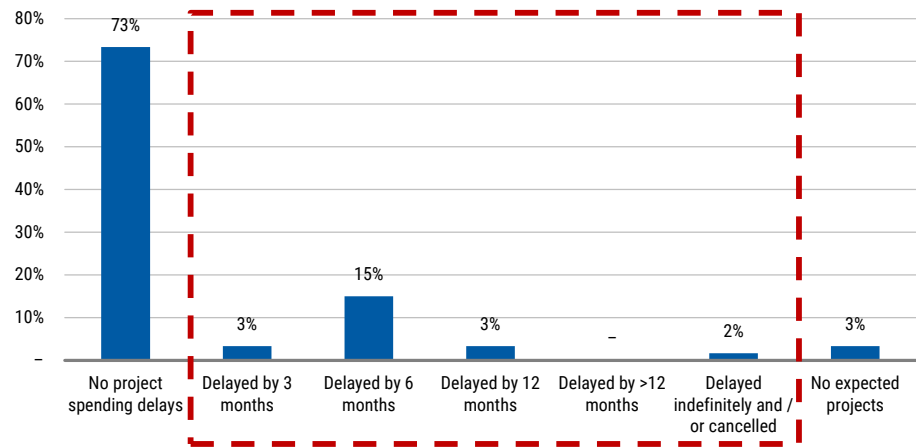
Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data)

Macroeconomic Concerns Less Likely to Drive Project Delays

Are your company's expected professional IT Services-related projects (e.g., digital transformation, cloud migration) delayed due to macroeconomic and / or geopolitical concerns?

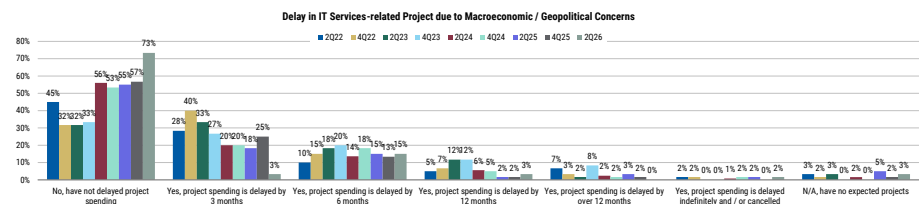
Exhibit 7: 23% of respondents are delaying IT Services-related projects due to geopolitical and / or macroeconomic concerns, meaningfully below 42% of respondents polled in 4Q25.

IT Services-related project delays due to macroeconomic concerns (% of respondents)



Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data)

Exhibit 8: 73% of respondents have not delayed project spending due to geopolitical and / or macroeconomic concerns, up from 57% in 4Q25.



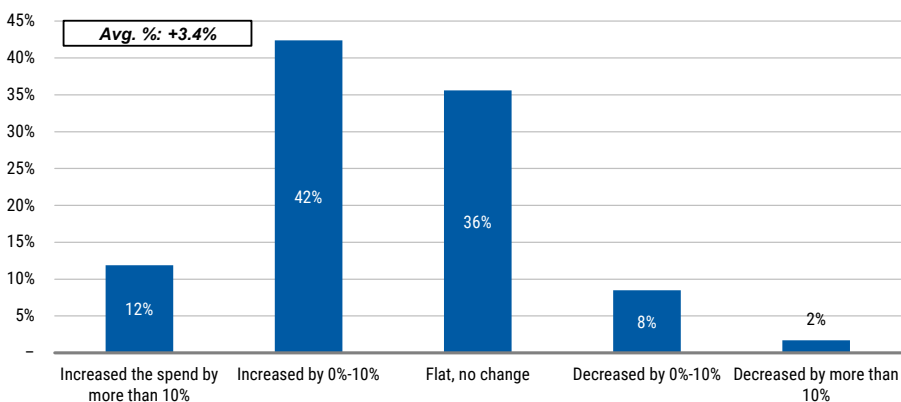
Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data)

Supply Challenges Continue To Abate Amidst Macro Uncertainty

Is your company changing their mix of spending on resources in-house vs. outsourced?

Exhibit 9: 54% of CIOs are planning to increase utilization of outsourced services (vs. 10% that are looking to shift work in-house), vs. 47% expected to increase and 13% expected to decrease in 4Q25.

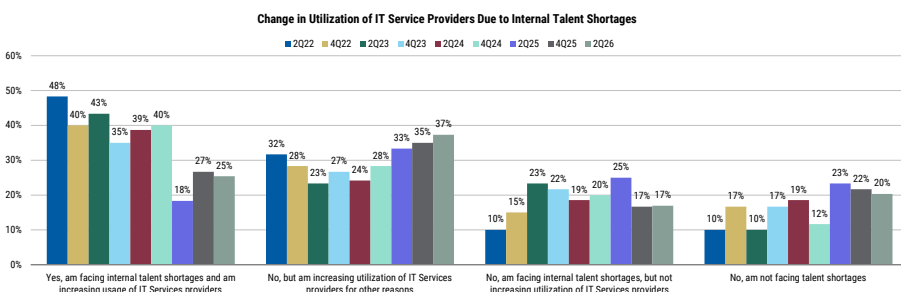
Changes in utilization of outsourced services



Source: AlphaWise, Morgan Stanley Research; n=59 (US and EU data)

Is your company increasing utilization of IT Services providers due to internal talent shortages?

Exhibit 10: 25% of respondents noted they are increasing usage of IT Services providers in response to internal talent shortages, which is slightly lower than the ~27% of respondents cited in our 4Q25 survey. 37% of respondents are increasing utilization of IT Services providers despite not facing internal talent shortages.



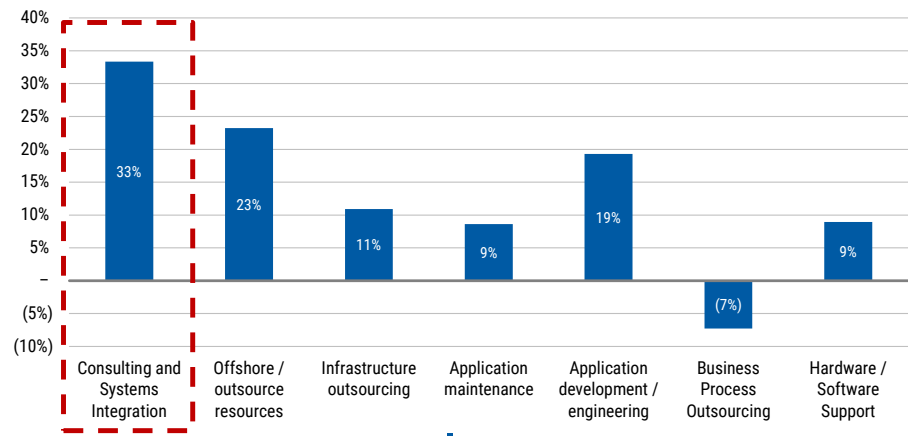
Source: AlphaWise, Morgan Stanley Research; n=59 (US and EU data)

Consulting and Systems Integration Leads Spending Categories

How do you expect your company's professional IT services spending in the following segments to change in the next 12 months?

Exhibit 11: On a net basis, subtracting the percentage of respondents indicating a decline from the percentage of respondents indicating an increase, Consulting and Systems Integration (33%) and Offshore/outsource resources (23%) are expected to see the greatest spending increases over the next twelve months.

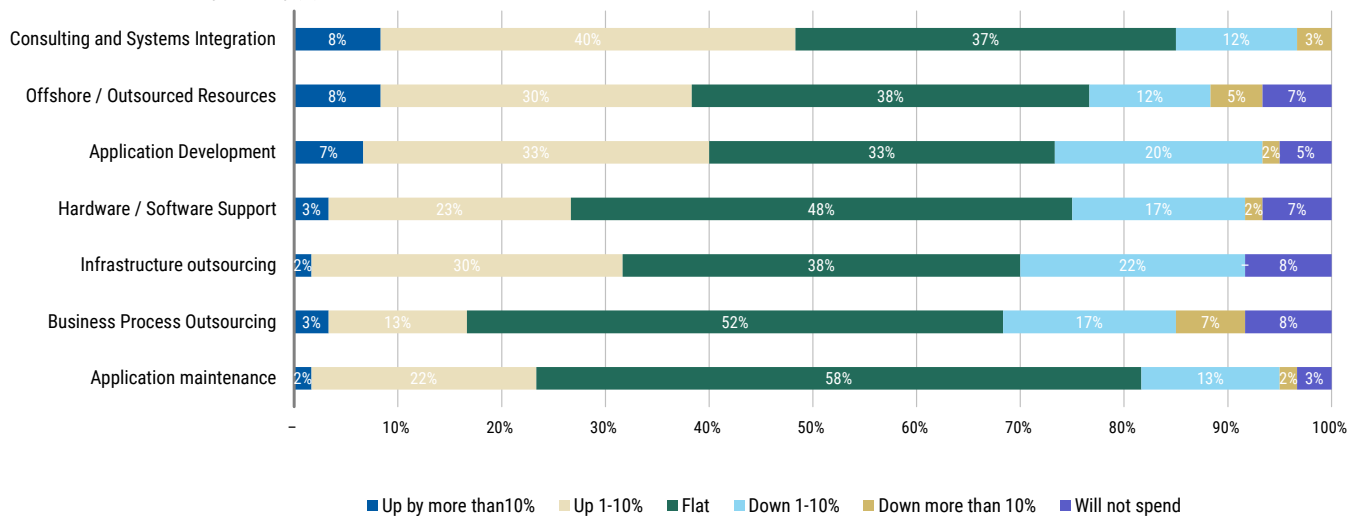
IT Services end-customer spending changes over NTM



Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data)

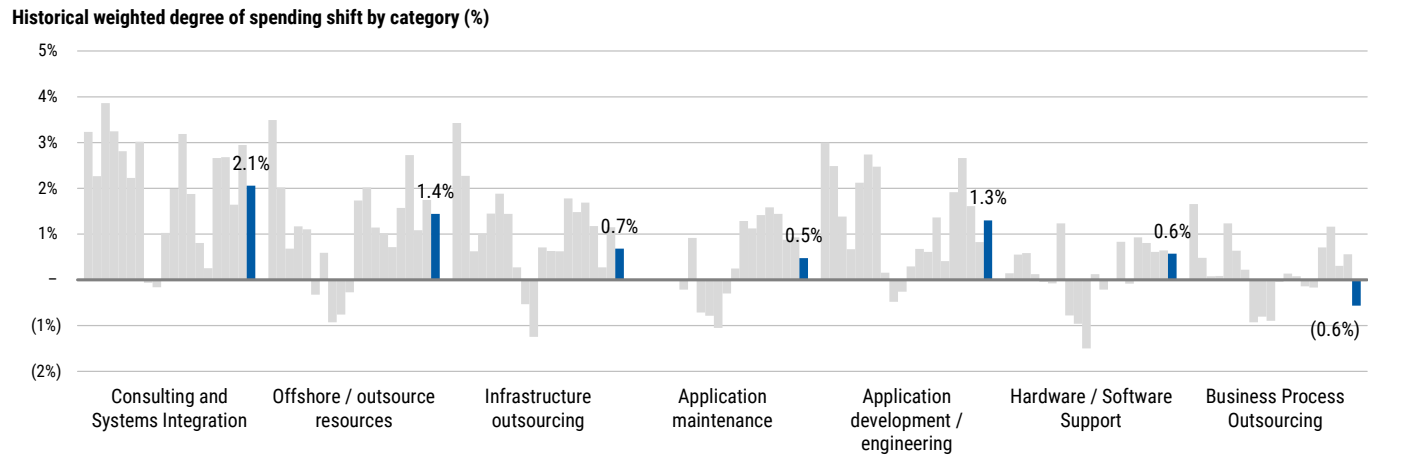
Exhibit 12: Consulting Systems Integration saw the greatest percentage of respondents that indicated an expectation that spending could increase by >1% (48% of respondents), while BPO support saw the greatest percentage of respondents indicating an expectation that spending could decrease >1% (23% of respondents), marginally above Infrastructure Outsourcing and Application Development (22% of respondents).

Degree of spending shift by category (%)



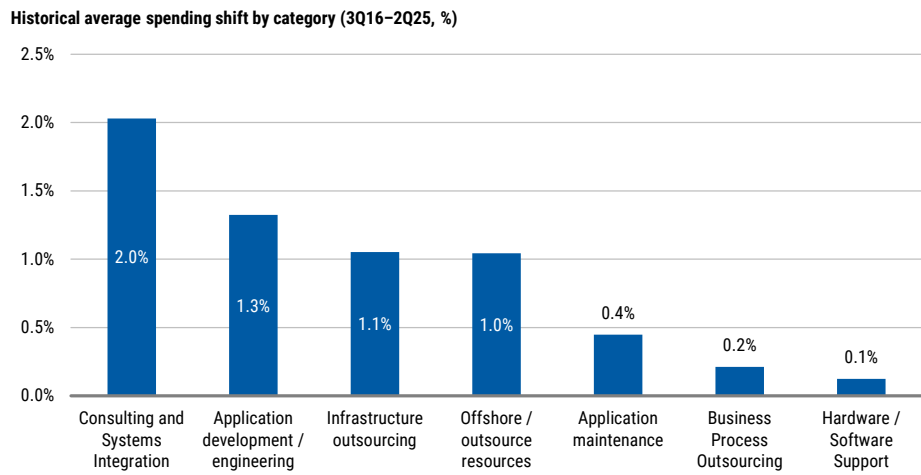
Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data)

Exhibit 13: Weighted by the magnitude of expected spend change (% increase or decrease over the next year), respondents indicated that they expect increased spend across most IT Services initiatives, with the greatest positive spending shift in Consulting and Systems Integration (+2.1%) and Offshore / outsource resources (+1.4%).



Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data)

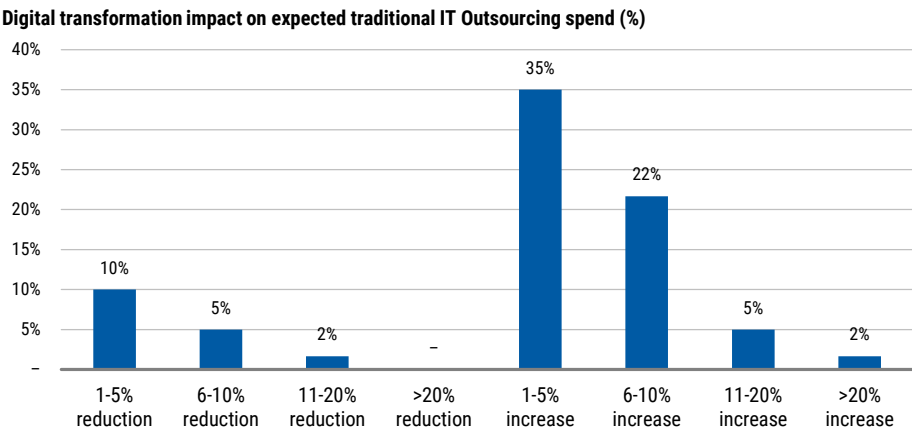
Exhibit 14: Historically, Consulting & Systems Integration spending has seen the greatest average weighted spending increase since 3Q16, increasing by an average of +2.0%. This is followed by Application Development (+1.3%). We recognize both services as vehicles to enable digital transformation.



Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data)

How is digital transformation impacting your company's traditional IT outsourcing spend? We are defining IT outsourcing as BPO, application maintenance, IT outsourcing & infrastructure maintenance.

Exhibit 15: 63% of respondents expect digital transformation to drive increased IT outsourcing spend by at least 1%

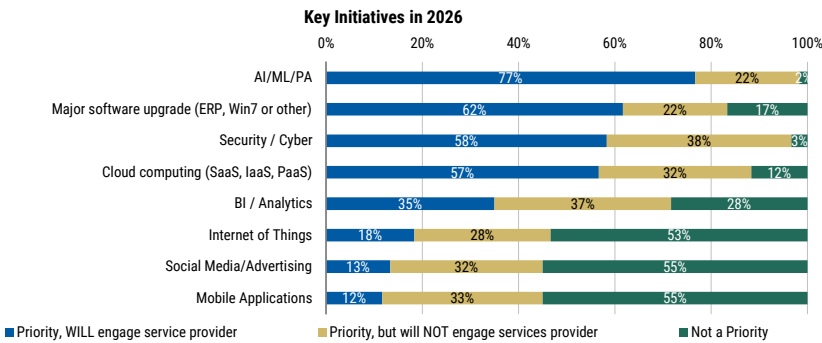


Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data)

AI, Software Upgrades and Security Areas of Near-Term Demand

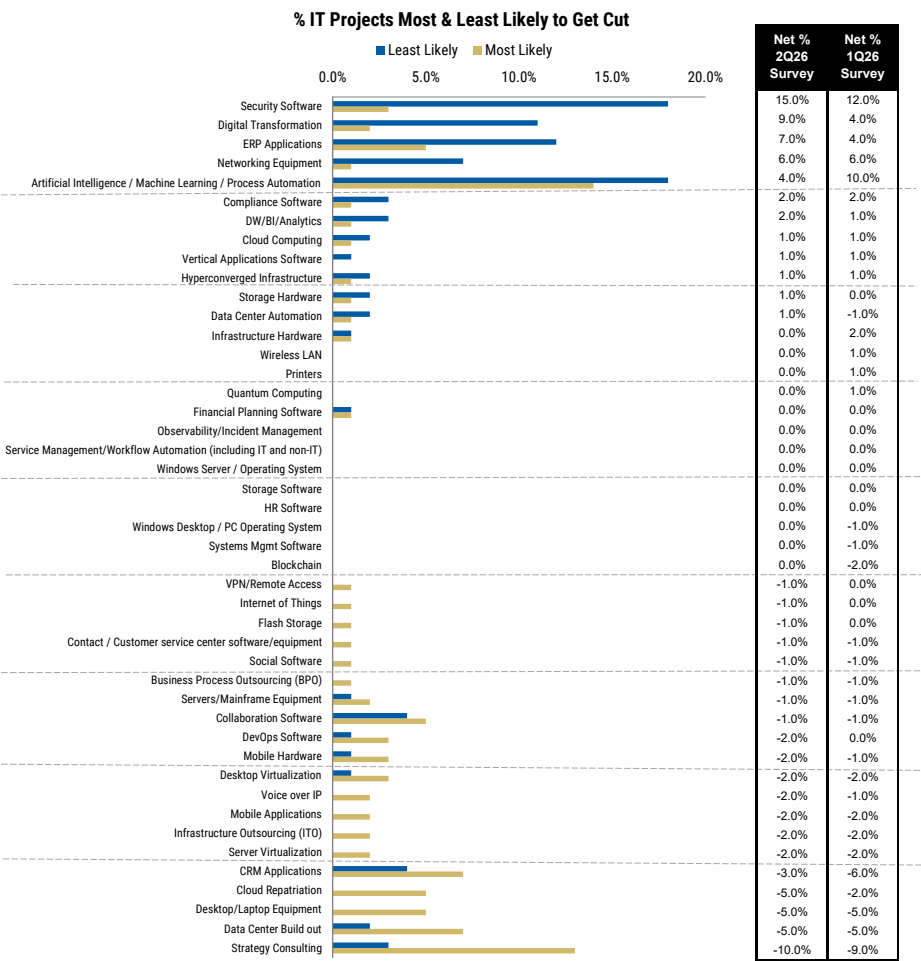
Are any of the following initiatives a priority for your company in 2026? If so, is your company engaging or planning to engage outside professional IT services providers to help with the planning or execution?

Exhibit 16: In terms of priorities for spend that respondents indicated they will act upon in the next 12 months, the categories with the highest percentage of respondents remain Artificial Intelligence, with 77% of respondents indicating an intention to engage a service provider (vs. 68% in 4Q25), and Software Upgrades at 62% (vs. 47% in 4Q25).



Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data)

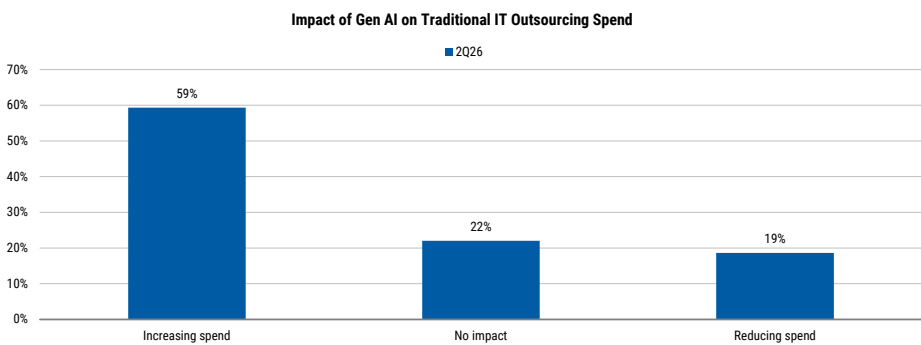
Exhibit 17: Security software remains the most defensive IT project by a wide margin, while AI/ML screens relatively less defensible



Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

How is Gen AI impacting your company's traditional IT outsourcing spend (consider the impact specifically attributable to Gen AI, separate from broader digital transformation initiatives)?

Exhibit 18: 59% of respondents expect to increase traditional IT outsourcing spend as a result of Gen AI, while 19% are reducing spend

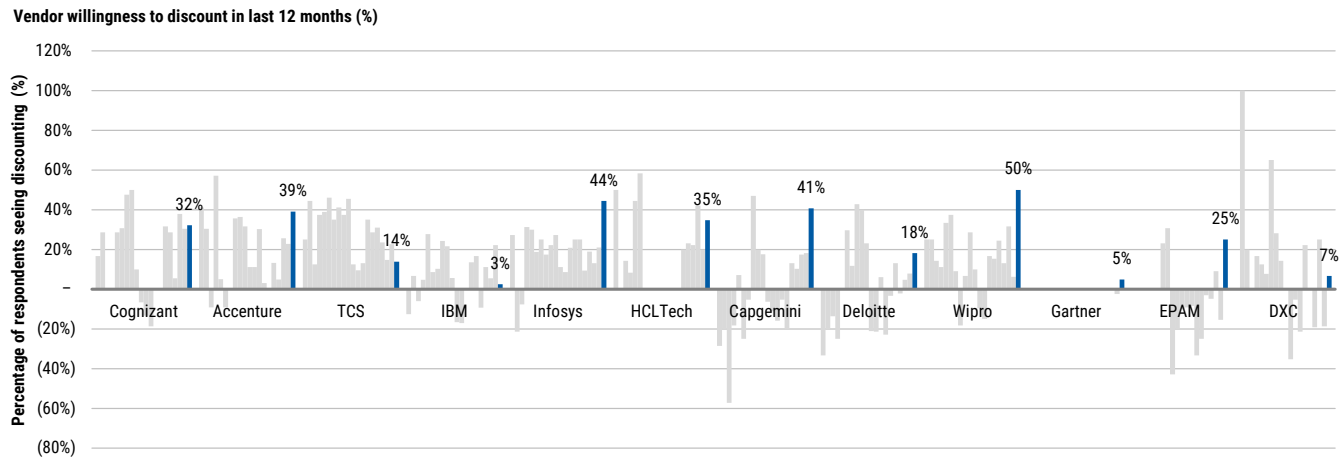


Source: AlphaWise, Morgan Stanley Research, n=59 (US and EU data)

Continued Discounting Across IT Services Vendors

Compared to last year, how would you describe the following vendors' willingness to discount pricing over the past 12 months?

Exhibit 19: We see incrementally more discounting across the space

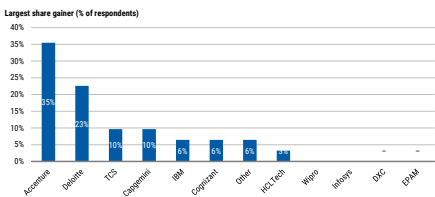


Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data)

52% of Respondents Consolidating Vendor Relationships

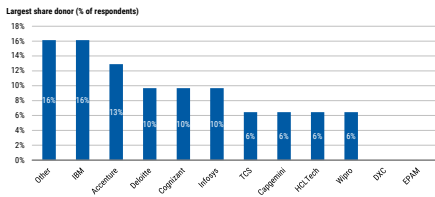
Has your organization undergone vendor consolidation with respect to professional IT Services providers over the last year? If so, which professional IT Services vendor was the largest share gainer and which was the largest share donor?

Exhibit 20: Of respondents undertaking vendor consolidation, ACN and Deloitte screened as the largest share gainers...



Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data)

Exhibit 19 ...while Other, IBM, and ACN screened as the largest share donors

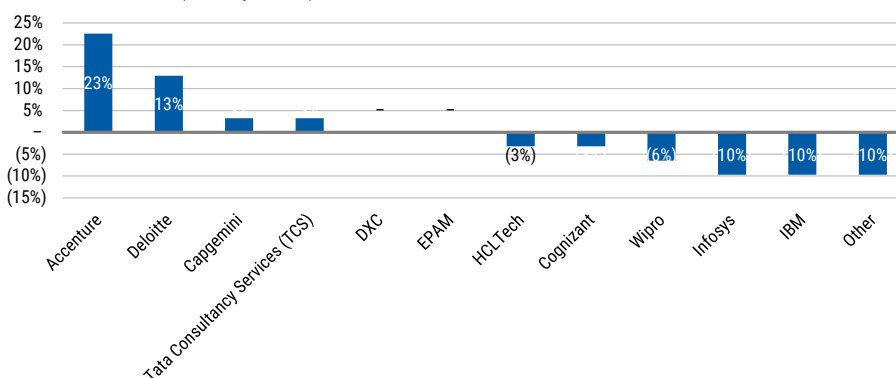


Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data)

Exhibit 21:

Net-net, ACN screened as the greatest beneficiary of vendor consolidation

Net Share Gains / Losses (% of respondents)



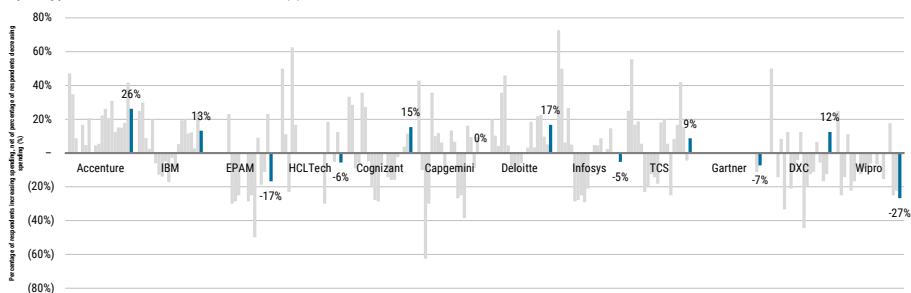
Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data)

Spending Intentions Vary By Vendor and Delivery Preference

Over the next 12 months, what are your company's IT services spending plans as it relates to specific vendors?

Exhibit 22: Spending intentions appear more balanced across providers

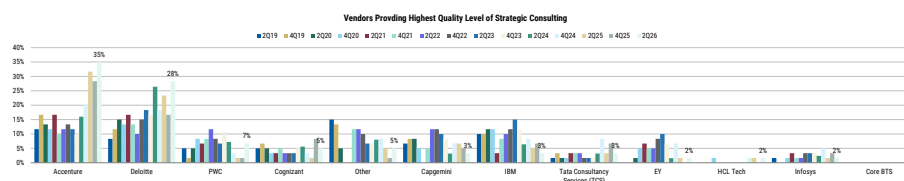
Spending plans on IT Services vendors in next 12 months (%)



Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data)

Which of the following vendors provides the highest quality level of strategic consulting?

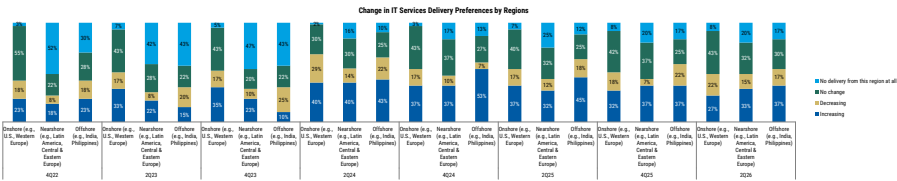
Exhibit 23: ACN screens as the highest quality provider of strategic consulting



Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data)

How are your company's IT delivery preferences changing in each of the following regions?

Exhibit 24: Preferences for onshore and nearshore delivery are down QoQ



Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data)

Valuation Methodology and Risks

Accenture Plc (ACN.N)

Our price target is derived from our Base Case scenario, which assumes low-single-digit organic growth near-term. Our price target applies a market multiple of 9x multiple to our FY27E EPS, which is meaningfully below the 10-year average market premium of 30%.

Risks to Upside

- Acceleration in high-growth strategic priorities
- Profitable share gains in Gen AI advisory practice
- Durability of demand
- Strength in Consulting bookings

Risks to Downside

- Deceleration in revenue growth across industry groups and / or business dimensions
- Lengthening bookings-to-revenue conversion cycle
- Lower utilization
- Accelerating attrition
- Recession

Cognizant Technology Solutions Corp (CTSH.O)

Our price target is derived from our Base Case scenario, which assumes gradual revenue growth and modest margin expansion near-term, driven by NextGen structural cost reduction efforts. Our target applies an approximate 7x P/E multiple to our Base Case CY27E EPS estimate.

Risks to Upside

- Recovery across large bank relationships
- Meaningfully lower attrition
- Improved fulfillment / delivery capabilities
- Improved pricing

Risks to Downside

- Wage inflation and an inability to pass-through costs
- Inability to deliver on contracted work
- Accelerating rates of attrition
- Inability to hire talent
- Share losses to competitors
- Restrictions on H-1B and work visas
- Recession

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared by Morgan Stanley & Co. LLC, and/or Morgan Stanley C.T.V.M. S.A., and/or Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., and/or Morgan Stanley Canada Limited. As used in this disclosure section, "Morgan Stanley" includes Morgan Stanley & Co. LLC, Morgan Stanley C.T.V.M. S.A., Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., Morgan Stanley Canada Limited and their affiliates as necessary.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: James E Faucette; Michael N Infante; Shefali Tamaskar; Meryl R Thomas, CFA.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

As of June 30, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: Accenture Plc, Cognizant Technology Solutions Corp, DXC Technology Company, EPAM Systems Inc, Kyndryl Holdings Inc, TaskUs, Inc.

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of Accenture Plc, DXC Technology Company.

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from Accenture Plc, DXC Technology Company.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Accenture Plc, Cognizant Technology Solutions Corp, DXC Technology Company, Endava PLC, EPAM Systems Inc, Kyndryl Holdings Inc, TaskUs, Inc..

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from Accenture Plc, Cognizant Technology Solutions Corp, DXC Technology Company, EPAM Systems Inc.

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Accenture Plc, Cognizant Technology Solutions Corp, DXC Technology Company, Endava PLC, EPAM Systems Inc, Kyndryl Holdings Inc, TaskUs, Inc..

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: Accenture Plc, Cognizant Technology Solutions Corp, DXC Technology Company, EPAM Systems Inc.

Morgan Stanley & Co. LLC makes a market in the securities of DXC Technology Company, Kyndryl Holdings Inc, TaskUs, Inc..

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of June 30, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Accenture Plc (ACN.N) - As of 07/15/26 GMT in USD
Industry : IT Services



Stock Rating History: 7/1/21 : O/I; 1/10/22 : O/A; 1/27/23 : O/I; 1/24/24 : O/C; 6/26/24 : E/C; 1/31/25 : E/I; 9/8/25 : E/C; 12/16/25 : O/C; 2/2/26 : O/I; 6/15/26 : E/I

Price Target History: 6/25/21 : 330; 9/10/21 : 380; 9/24/21 : 400; 12/17/21 : 475; 4/8/22 : 480; 6/14/22 : 390; 6/24/22 : 385; 9/7/22 : 350; 9/23/22 : 340; 3/15/23 : 325; 6/2/23 : 350; 6/23/23 : 340; 9/12/23 : 355; 12/20/23 : 369; 1/24/24 : 400; 3/18/24 : 417; 3/22/24 : 400; 6/25/24 : 382; 6/26/24 : 300; 9/27/24 : 335; 1/31/25 : 380; 3/17/25 : 372; 6/12/25 : 340; 6/23/25 : 325; 9/8/25 : 271; 12/16/25 : 320; 3/16/26 : 240; 6/15/26 : 177; 6/22/26 : 130

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Cognizant Technology Solutions Corp (CTSH.O) - As of 07/15/26 GMT in USD
Industry : IT Services



Stock Rating History: 7/1/21 : O/I; 1/10/22 : E/A; 1/27/23 : E/I; 1/24/24 : E/C; 1/31/25 : E/I; 9/8/25 : E/C; 2/2/26 : E/I

Price Target History: 5/6/21 : 93; 10/20/21 : 90; 10/28/21 : 91; 1/10/22 : 95; 5/5/22 : 90; 7/22/22 : 75; 7/28/22 : 65; 11/3/22 : 60; 1/27/23 : 65; 2/3/23 : 60; 5/4/23 : 65; 10/30/23 : 68; 11/2/23 : 65; 4/19/24 : 64; 5/2/24 : 65; 8/1/24 : 75; 1/31/25 : 80; 2/6/25 : 85; 3/12/25 : 80; 2/5/26 : 82; 4/27/26 : 70; 4/30/26 : 63; 6/23/26 : 44

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures. For Morgan Stanley specific disclosures, you may refer to <https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch>.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (<http://www.morganstanley.com/terms.html>). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (<http://www.morganstanley.com/terms.html>). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research.

Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V. which is regulated by Comisión Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 149169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products.

Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

INDUSTRY COVERAGE: IT Services

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/14/2026)
James E Faucette		
Accenture Plc (ACN.N)	E (06/15/2026)	\$134.56
Cognizant Technology Solutions Corp (CTSH.O)	E (01/10/2022)	\$43.03
DXC Technology Company (DXC.N)	E (01/29/2021)	\$9.16

Endava PLC (DAVA.N)	E (01/24/2024)	\$2.85
EPAM Systems Inc (EPAM.N)	E (04/26/2024)	\$84.50
Kyndryl Holdings Inc (KD.N)	E (09/26/2025)	\$11.61
TaskUs, Inc. (TASK.O)	E (09/08/2025)	\$5.80

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.

© 2026 Morgan Stanley